UNITN
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# NUDGING

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# NUDGING HOW IT WORKS

practices which exploit psychological weaknesses targeting “System 1” of decision taking process

**SYSTEM 1**

faster
less conscious
decision taking

**SYSTEM 2**

slower
deliberate
reasoning

# WHY DISCUSS ETHICS

Nudges are capable of steering the choices of consumers and citizens on a large scale. Such influence raises potential concerns about abuse, violation of autonomy and manipulation

## AUTONOMY EFFECT

Freedom of choice
Agency

## SOCIAL WELFARE CRITIQUES

1. Nonexistence of True Preferences
2. No irrationality
3. Limited information
4. Heterogeneity

## MARKET NUDGING

Market nudging is more worrying than government nudging
Cost of market nudging

## POSSIBLE POLICY INTERVENTION

Control of content
Control of Space
Ban

# AUTONOMY

## FREEDOM OF CHOICE

having access to alternatives without coercion (Vugts et al., 2020).

respect autonomy by not altering choice sets or offering significant incentives. (Thaler and Sunstein (2008))

concept "easy resistibility" (Saghai, 2013) suggests that nudges may not allow individuals genuine opportunities to resist their influence

# AUTONOMY

## AGENCY

encompasses the capacity to reason, reflect, and choose (Vugts et al., 2020).

nudges target fast, automatic decision-making processes, diminishing individuals' control and agency (Hausman and Welch, 2010; Lanzing, 2019; Noggle, 2018).

# CRTIQUES SOCIAL WELFARE

The claim that nudging can improve social welfare is based on the assumption of “IRRATIONAL” humans, which act “AGAINST THEIR TRUE PREFERENCE ORDER”

This claim is critiqued with the following arguments:

**Nonexistence of True Preferences**

There are no universally "true" preferences. Nudges impose nudgers' ideas of well-being, disregarding individual circumstances (Glod, 2015).

**Different Preferences, Not Irrationality**

People may prefer short-term pleasures (e.g., eating unhealthy food) over long-term benefits. Dismissing these choices as mistakes fails to recognize genuine preferences (Baldwin, 2014; Glod, 2015)

**Constrained Epistemic Access:**

Governments lack the knowledge to determine the optimal choices for individual happiness (Fumagalli, 2016). People are the best judges of their own welfare, despite occasional errors.

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**Heterogeneity**:

Effective nudging requires understanding diverse preferences and behaviors across different groups (Rizzo and Whitman, 2009a; Grüne-Yanoff, 2012; Ewert, 2017).

One-size-fits-all nudges can misdirect people with different needs, self-correction methods, and reactions.

Personalized nudges, suggested by Sunstein (2016), require extensive data collection, risking privacy violations and potential misuse (Ranchordás, 2019).

Businesses may exploit data not to optimize welfare, but to enhance product sales, posing privacy threats and algorithmic biases (Smith et al., 2013; Lanzing, 2019).

# COST OF NUDGING

The costs of nudges can take various forms. To avoid a nudge, a person “may have to

[1] give up time
[2] take on an annoyance
[3] walk a little further
[4] pay a little more money or forfeit some money or material goods
[5] execute willpower
[6] feel bad about himself (self-scorn)
[7] undergo social scorn, or
[8] have to think a little harder”

(Blumenthal-Barby, 2010: 20).

# MARKET NUDGING

PREMISE:
Worry about market nudges should be greater than government nudges, since market nudges:

1. are not constrained by the principles of government nudging (mildness, sensitivity to people's interests as they see them, and public justifiability)
2. are often 'stacked' in great numbers that overwhelm people's autonomy
3. people fail to recognize their bad decision has to be attributed to nudging and not to them selves. No backlash to markets like to govt

# POLICY INTERVENTION

PREMISE: certain types of nudging are not essential to markets, which can function perfectly well without them. As long as we can identify these practices and create regulations that do not disrupt the market overall, we can critique market nudges without condemning markets themselves.

**CONTROL CONTENT**

**Content Regulation:**

Modern ads may lack relevant information about the product or services

Requiring ads to provide minimal content would help ensure consumers are not distracted from relevant information.

**Disclosure of Techniques:**

Marketers are usually reluctant to reveal their nudging and marketing techniques. However, regulation could require them to disclose these methods, enabling consumers to understand and potentially counteract these influences in their decision-making.

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**CONTROL PUBLIC SPACE**

Advertising-Free Zones: Reduce the exposure to ads, to minimize the negative effects of market nudges without harming market efficiency.

Examples: “Clean City” law enacted in São Paulo in 2006
“Ad blockers” softwares

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**BANS**

In some cases, outright bans on certain types of advertising are justified.

Examples: the European Parliament and European Council banned all tobacco advertising in various media.

some countries, like Norway, have banned advertising targeted at children.

These strong prohibitions are justified on autonomy grounds, particularly when they involve potentially addictive products or vulnerable audiences.

# Nudging and public policies

In recent years countries all over the world have become keenly interested in nudges:

1. low costs
2. prompt results
3. allow citizens to maintain their freedom of choice

# IMPLEMENTATION OF NUDGES

Rely entirely on existing institutions

- simple
- does not require new offices or additional founding

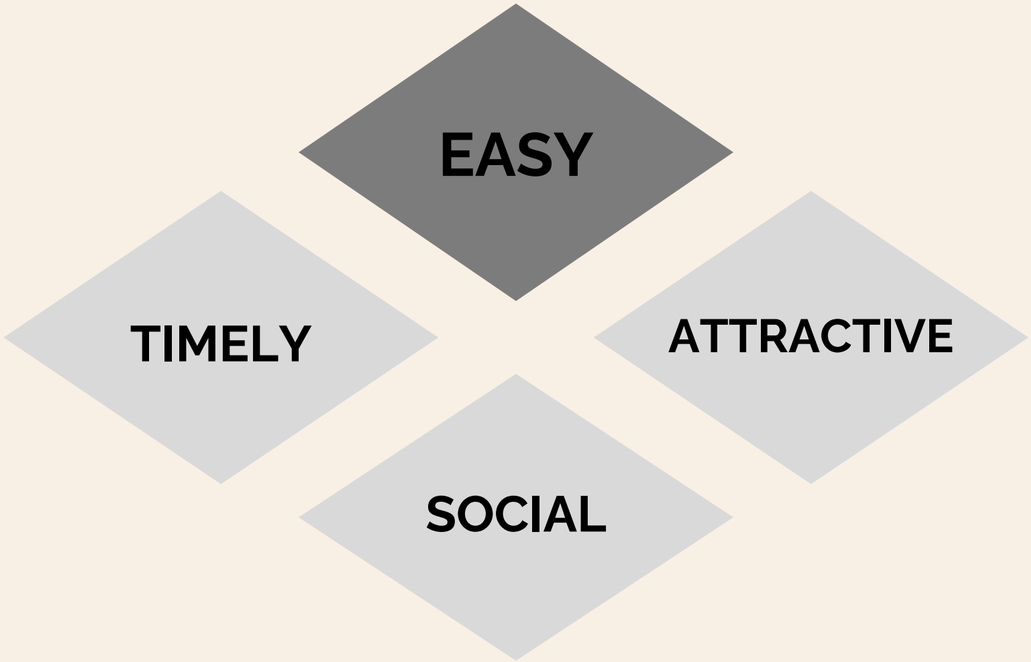
Create a new institution

↓

Behavioural Insights Team

# THE BEHAVIOURAL INSIGHTS TEAM

EAST: four simple ways to apply behavioural insights



# MAKE IT EASY

- HARNESS THE POWER OF DEFAULTS : individuals have a strong tendency to stick with the default option
- REDUCE THE “HASSLE FACTOR” OF TAKING UP A SERVICE: reducing “hassle costs” makes an action more likely
- SIMPLIFY MESSAGES: making the message clear often results in a significant increase in response rates to communications

# MAKE IT ATTRACTIVE

- ATTRACT ATTENTION: individuals are more likely to do something that their attention is drawn towards

- DESIGN REWARDS AND SANCTIONS FOR MAXMUM EFFECT: individuals are  more likely to undertake a particular action if they have an incentive to do so

# MAKE IT SOCIAL

- SHOW THAT MOST PEOPLE PERFORM THE DESIRED BEHAVIOUR : social norms offer guides to people's behaviour
- USE THE POWER OF NETWORKS: individuals are embedded in a network of social relationship, and those they come into contact with shape their actions
- ENCOURAGE PEOPLE TO MAKE A COMMITMENT TO OTHERS

# MAKE IT TIMELY

- PROMPT PEOPLE WHEN THEY ARE LIKELY TO BE MOST PECEPTIVE: the same offer made at different times can have drastically different levels of success
- CONSIDER THE IMMEDIATE COSTS AND BENEFITS: “present bias”
- HELP PEOPLE PLAN THEIR RESPONSE TO EVENTS: making a plan leads people to achieve a future goal

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# THANK YOU

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